

The Psychology of Money

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8-slide visual summary

Core concepts • mental models • easy-to-remember diagrams •
practical takeaways

Money Is Behavior

Financial decisions are shaped by personal history and emotion.



- Personal finance is personal.
- Different experiences produce different risk preferences.
- Behavior matters as much as knowledge.

Wealth vs Rich

Income is visible; wealth is what you keep.

RICH

High income + high spending Visible lifestyle

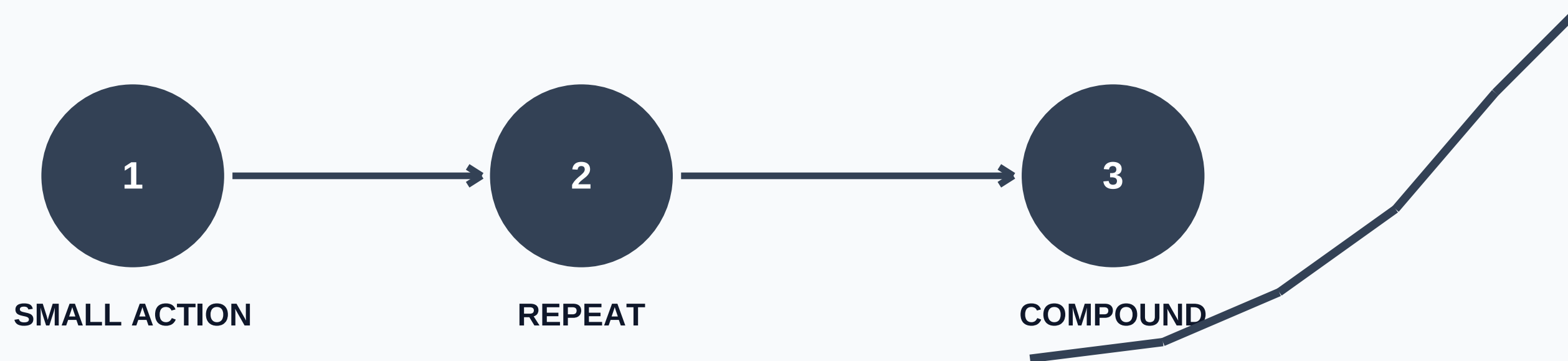
WEALTH

Resources kept + invested Future options

- High spending can hide weak finances.
- Unspent resources create future options.
- Wealth buys flexibility.

Compounding Needs Time

The ability to stay in the game is a superpower.



Results lag behind the habits.

- Small returns can compound.
- Time matters enormously.
- Avoid catastrophic mistakes.

Room for Error

The future will surprise you.

UNCERTAIN FUTURE

MARGIN OF SAFETY

cash + flexibility + low ruin risk

- Keep liquidity.
- Avoid excessive leverage.
- Build buffers.
- A resilient plan beats a fragile perfect plan.

Enough

Define the point where more is no longer worth the risk.



- Set lifestyle boundaries.
- Do not chase status endlessly.
- Freedom can matter more than maximum wealth.

The Time Dividend

Money's deepest benefit is control over time.



- Savings create optionality.
- Optionality lets you say no.
- The goal is freedom of choice.

Memory Map

Behavior → Saving → Compounding → Resilience → Freedom



- Save consistently.
- Avoid ruin.
- Give compounding time.
- Use wealth to buy flexibility.